

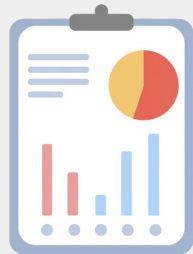
Executive Summary

Fashion Brand Customer Intelligence Analysis | Dataset: 3,900 Customers



BUSINESS PROBLEM

The brand lacks intelligence on whether its promotional strategy is building loyalty or merely attracting one time bargain hunters. This analysis identifies high value customers, measures promo dependency and delivers a data backed retention strategy.



Dataset Overview

- 3,900 customers analyzed
- 4 product categories
- 50 US states
- 6 engineered features built
- 5 SQL queries executed

42%
Unnecessary
Discount
Rate

\$89.93
Ideal
Customer
Avg Spend

1,660
Customers
Buying
Without
Discounts

KEY FINDINGS



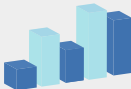
- 42% of customers (1,640) used discounts yet spent nearly the same as genuine buyers (\$59.12 vs \$60.13) discounts reduce margins without increasing spend
- Previous purchases is the strongest value predictor-High Value customers averaged 45 purchases vs only 6 for Low Value
- Arizona, Alaska and Michigan show high spend with low promo dependency genuine brand pull markets
- 69 High Value Happy customers already buy without discounts (avg spend \$89.93, loyalty score 7.35)
- 39 High Value Unhappy customers spend the most (\$91.28) yet remain dissatisfied discounts alone aren't working

RECOMMENDATIONS



- Immediately stop discounts for 113 High Value Happy customers they buy anyway at \$89.93 avg spend
- Phase out discounts for 809 Mid Value Happy customers over 3 months (5% → 2% → 0%)
- Invest marketing budget in Arizona, Alaska and Michigan for higher margin organic sales
- Survey 39 High Value Unhappy customers to identify root cause before any discount changes
- Target 43-50 age group in acquisition campaigns they spend \$85-92 and never need discounts
- Build a subscription program targeting the 43-50 age group currently 100% of ideal customers are non subscribers suggesting an untapped opportunity

EXPECTED IMPACT



- Stopping discounts for 1,660 customers who buy anyway → direct margin improvement
- Redirecting marketing to Arizona, Alaska and Michigan → higher organic revenue
- Targeting 43-50 age group → 3x higher spend vs Low Value customers
- No expected revenue loss based on behavioral data analysis

